

GSM Foils Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE SME: GSMFOILS · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts, stock-exchange filings and public financials.

1 Snapshot

What the business does: GSM Foils buys plain aluminium foil (called *bare foil*) from Indian rolling mills, then coats it, laminates it and prints on it, and sells it to pharmaceutical companies as **blister foil** (the shiny backing on a tablet strip) and **strip foil** (the foil on both sides of a capsule pack). It is, in the management's own words, a *Tier-2 and Tier-3 converter* — it does not roll its own aluminium. Roughly 80–85% of its cost is the aluminium itself, and the price of that aluminium is reset by the supplier (Hindalco) on the first of every month and passed straight through to customers. There are no long-term contracts. The company's stated edge is not technology; it is **working capital** — it pays its suppliers almost in advance and gives its pharma customers 45–75 days of credit, so whoever can fund the biggest credit book wins the volume. It runs a leased plant in Vasai (Maharashtra), a second leased plant in Ahmedabad (Gujarat), and from June 2026 a third small unit near Mumbai making aluminium bottle caps. It listed on the NSE SME platform in May 2024.

Measure	Value	What it means in plain words
Market cap	₹243 cr	What the whole company is worth on the stock market — a micro-cap on the small-company (SME) platform.
Q1 FY27 revenue	₹96.9 cr	Sales in the June 2026 quarter — up 86% on the ₹52.0 cr of a year earlier. The tenth straight quarter of growth.
Q1 FY27 net profit	₹7.6 cr	Profit after all costs and tax, roughly double the ₹3.8 cr of a year ago.
FY26 revenue	₹258 cr	Full year to March 2026 — up 93% on FY25's ₹134 cr. Revenue has gone up about 6x in two years.
FY26 operating margin	11.6%	About 12 paise of operating profit per rupee of sales. Thin — this is a converter, not a brand.
Stock P/E	10.3	The share price is about ten times last year's per-share earnings. Cheap on the face of it.
ROCE (FY26)	35.4%	Return on capital employed — very high, because the machines cost almost nothing (₹5 cr of fixed assets on ₹258 cr of sales).
Borrowings (Mar 26)	₹44 cr	Debt has more than doubled from ₹18 cr a year earlier. All of it funds stock and customer credit, not machines.
FY26 operating cash flow	–₹37 cr	Negative. The business reported ₹30 cr of operating profit and still had ₹37 cr <i>leave</i> the door, because profits went into unsold stock and unpaid customer bills.
Debtor days (Mar 26)	133 days	Customers took over four months to pay, up from 92 days a year earlier. The single most important number to watch here.
Promoter holding (Jun 26)	54.4%	Down sharply from 66.5% in March 2026 — the founders sold about 12% of the company in one quarter.

2 Concall coverage

Quarter	Call date	Transcript read?
Q4 FY25	9 May 2025	Yes — the company's first-ever earnings call, held a year after listing
Q1 FY26	21 Jul 2025	Yes
Q2 FY26	6 Nov 2025	Yes
Q3 FY26	2 Feb 2026	Yes

Q4 FY26	22 Apr 2026	Yes
Q1 FY27	21 Jul 2026	Yes — latest call ★ (read in full)

Six transcripts — the company's complete earnings-call history. GSM Foils listed in May 2024 and did not hold its first call until May 2025, so a little over a year of calls exists, not the usual two to three years. The automated Screener download initially returned only five; the July 2026 transcript was fetched separately from the NSE filing archive so that the latest call is included. Two stock-exchange filings after the call (31 July and 2 August 2026) were also read and are covered below.

★ Latest concall highlights — Q1 FY27 (call held 21 July 2026)

- **Another record quarter, and the growth is not slowing.** Revenue ₹96.9 cr, up 86% year-on-year. Operating profit ₹11.5 cr, up 98%. Net profit ₹7.6 cr, up 99%. Operating margin 11.9%, slightly better than the 11.2% of a year ago. Ten consecutive quarters of higher sales.
- **Guidance raised.** Three months earlier management had said FY27 sales would be ₹400–450 cr. On this call that became **₹450–500 cr**, with FY28 put at **₹750–800 cr**. For scale: FY26 was ₹258 cr, so they are promising to roughly triple in two years.
- **Two brand-new units, announced at once.** Unit 3 near Mumbai makes **ROPP caps** — the aluminium screw caps used on medicine syrup bottles and liquor bottles. It started billing in June 2026, needs almost no capital (₹50–60 lakh), and management claims an 18–20% margin, well above the 12% the foil business earns. Unit 4 is a taken-over plant being shifted from Vapi to Vasai, dedicated entirely to **exports**, targeted to start production by end-August 2026. Both were unannounced a quarter earlier.
- **The main plant is behind schedule.** Ahmedabad, opened in December 2025, was supposed to be at 50% capacity by March 2026. It was at 25–30% in April and **35% in July**. Management now targets "over 80% by the end of this financial year" — the third version of this target in three calls.
- **The founders sold 12% of the company, and management would not fully explain why.** Asked directly, the reply was "personal requirement" of co-promoter Mohansingh Parmar, that "that chapter is done and dusted", and that the remaining promoter shares have been voluntarily locked up for eighteen months. Management declined to say more "on a public call." **Ten days after this call, both promoters were removed from the business by events described in the box below.**
- **Tone: confident, plain-spoken, sometimes unusually blunt.** The Chief Financial Officer runs every call alone and volunteers uncomfortable facts — that the industry has "no entry barriers", that cash flow is negative and he is "not worried about it", that big pharma customers pay too slowly to be worth having. That candour is genuine and rare.

▲ Material event after the call — 31 July / 2 August 2026

Two stock-exchange filings made in the ten days after the Q1 call, and eleven days before this report, describe an event that overshadows everything in the numbers above. Both are on the public record with the National Stock Exchange.

- **Mr. Mohansingh Parmar, Managing Director and co-promoter, was shot** in a firing incident in Vasai on or before 31 July 2026. He is hospitalised; the company reports his condition as stable and says he intends to resume duties on discharge.
- **Mr. Sagar Bhanushali, Chairman, Whole-Time Director, Chief Financial Officer and the other co-promoter, has been arrested / taken into police custody** in connection with the police investigation into that incident. He is the man who has personally presented every one of the six earnings calls read for this report, and who described in those calls how he personally negotiates credit terms face-to-face with each customer.
- The company states that it has not been named as an accused, that the matter "relates to certain individuals in their personal capacity", that both plants continue to run normally, and that the board is "identifying and appointing suitable personnel" to strengthen the management team.
- **Plain read:** in the space of one quarter, the two founders of a company whose only stated competitive advantage is personal relationships and personal credit judgement sold 12% of the stock for undisclosed "personal" reasons, and were then removed from day-to-day control — one to hospital, one to custody. Whatever the eventual legal outcome, the key-man risk that this business model carries has now actually happened.

Business mix & capacity. Direct exports: zero. Management was explicit on the latest call — "we are totally into domestic market", 100% of sales are domestic and all raw material is bought in India (imports are shut out by a five-year anti-dumping duty on Chinese and Thai foil). It estimates that **50–55% of its output eventually leaves India indirectly**, inside medicines packed by its pharma customers and shipped to Africa, the Gulf and beyond — but GSM earns a domestic price on all of it. Direct exporting is meant to begin with Unit 4 from late August 2026, initially by selling to an Indian merchant exporter rather than shipping itself. **Product mix** is about 65% blister foil and 35% strip foil, and management says this has barely moved in five years. **Capacity utilisation** at the June 2026 quarter: **Vasai (Unit 1) above 85%** of its 10,000 tonnes-per-year capacity, near its practical ceiling of 95–98%, worth ₹30–35 cr of sales a month at full tilt; **Ahmedabad (Unit 2) 35%**, worth ₹6–7 cr a month today against ₹30 cr at full tilt; **Unit 3 (ROPP caps) barely started** — first invoice raised days before the call, peak potential ₹55–60 cr a year; **Unit 4 (export) not yet operating**. In short: the money-making plant is nearly full and the growth has to come from three units that are between one-third full and not yet switched on.

★ 3. Earning-trigger thesis

Management's story has been the same from the first call: **this is a working-capital business, not a factory business**. A plant costs ₹4–5 cr and can produce ₹300 cr of sales a year, so capital expenditure is almost irrelevant. What limits growth is money — because GSM must pay its aluminium supplier within about 20 days while giving pharma customers 45–75 days. Every rupee of new debt or equity gets rotated six to seven times a year through that cycle and comes back as revenue. That is a genuine, honest and self-consistent explanation of why sales went from ₹41 cr to ₹303 cr in three years. **It is also the problem**. A trigger that is simply "we will borrow more and give more credit" is not a moat; it is leverage. Management says so itself, unprompted: there are "no entry barriers", no contracts, no product differentiation, and the only real risk in the business is a receivable that stops coming back. The identifiable, dateable triggers sit on top of that engine, and they are listed below.

Trigger	What management said	Evidence so far	Horizon	Strength
Ahmedabad plant ramp-up	Opened Dec 2025 for ₹5.5 cr. 50% full by Mar 2026, then "optimal by FY27 end", now "over 80% by Mar 2027" — worth ₹28–30 cr of sales a month.	Real plant, real revenue, but slow: 20–30% (Feb 26) → 25–30% (Apr 26) → 35% (Jul 26). Currently ₹6–7 cr a month against a ₹10–12 cr promise made for March 2026.	2–4 qtrs	Moderate The single biggest identifiable driver, but the ramp has already slipped two quarters.
ROPP caps (Unit 3)	MOU signed with AAPL Solutions; production began June 2026; ₹30–35 cr this year, ₹60–65 cr next; margin "18–20%" versus 12% in foil.	One month old. First invoice raised two days before the call. The 18–20% figure is what management says it "has heard" about the industry — it has not earned it yet.	3–6 qtrs	Unproven Promising economics, zero track record. Judge it in two quarters.
First direct exports (Unit 4)	Taking over a plant in Vapi, shifting it to Vasai, production "by end of August 2026", dedicated to export, ₹4–10 cr a month capacity, "definitely better than domestic" margins.	Nothing yet. Exports have been promised since the very first call in May 2025; as recently as Feb 2026 management said it was "not getting that much positive response." This is the first structural step.	2–5 qtrs	Unproven Not started. Management admits its own team does not yet know export rules or standards.
Regulatory tailwind	Five-year anti-dumping duty on Chinese and Thai aluminium foil; the Quality Control Order 2026 and compulsory BIS certification for pharma foil should push buyers toward certified domestic suppliers.	Genuine and verifiable policy, not company spin. Imports are already shut out — all raw material is sourced in India. Helps every compliant domestic converter, not GSM specifically.	Multi-year	Moderate A real structural tailwind, but shared with every rival.
Aluminium inventory gains	Aluminium rises in roughly 10 months out of 12; the company deliberately stocks	Openly admitted to be part of the margin — "a cherry on the	Ongoing	Weak This is commodity positioning, not operating

up before the monthly price letter and holds back sales, banking the difference.

cake." Q1 FY27 saw aluminium at a multi-year high, then falling.

skill. It reverses when prices fall.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q4 FY25 (May 25)	FY26 sales of "₹190–200 cr on the lower end", aiming ₹240–250 cr.	FY26 came in at ₹258 cr — above the top of the stated range. Repeated and reconfirmed at every intervening call.	Delivered
Q1 FY26 (Jul 25)	Operating margin "11% to 12%, quite sustainable."	Held every single quarter since: 11.2%, 11.4%, 11.9%, 11.5%, 11.9%. Not once outside the band.	Delivered
Q1 FY26 (Jul 25)	A copy of the Vasai plant to be built in Ahmedabad, ₹4–5 cr capex, "should be within six months."	Built and commissioned in December 2025, five months later, for ₹5.5 cr. Almost exactly on time and on budget.	Delivered
Q2 FY26 (Nov 25)	Ahmedabad at 40–50% utilisation by March 2026, i.e. ₹10–12 cr of sales a month. Reconfirmed in Feb 2026.	25–30% in April 2026; 35% and ₹6–7 cr a month in July 2026. Roughly half of what was promised, four months late and still short.	Missed
Q2/Q3 FY26 (Nov 25 / Feb 26)	Vasai to reach "more than 90%", even "95–98%", utilisation by March 2026 after a small ₹12–15 lakh upgrade.	85–87% in February 2026; "crossed 85%" in July 2026. Close, but the target has quietly stopped being mentioned.	Partly
Q4 FY25 → Q4 FY26	Lamitube manufacturing capex of ₹3–4 cr "by end of Q3 FY26" — the flagship <i>backward integration</i> story of the first two calls.	Deferred in Nov 2025 ("held that... another 6–8 months"), not mentioned again in Feb 2026, and in April 2026 management stated flatly: "We are looking at forward integration only, sir. We are not looking at backward integration." Dropped without ever being formally withdrawn.	Dropped
Q4 FY25 (May 25)	Acquisition of an LDPE (plastic film) plant, "maybe by end of Q3, we are planning to acquire that."	Abandoned two months later: "LDPE is in the last thought, currently we are not looking at LDPE." Never raised again.	Dropped
Q2 FY26 (Nov 25)	Operating cash flow to turn positive "over 18–20 months... definitely, 100%."	It got worse, not better: FY26 operating cash flow was –₹37 cr against –₹0 cr in FY25. By July 2026 the promise had been re-framed rather than met — "we are not that worried about bringing our cash flow positive."	Missed
Q3 FY26 (Feb 26)	"By the end of this March I'll definitely come up with more solid answers" on two or three new units in Mumbai.	Nothing in April ("things are under plan"). Delivered in July 2026 — two new units announced at once. Late by a quarter, but real.	Delivered (late)
Q4 FY26 (Apr 26)	Asked about further equity dilution in the next 12–18 months: "Currently we haven't thought of that, sir."	Technically true — there was no new share issue. But in that same quarter the promoters sold about 12% of the company in the market, taking their stake from 66.5% to 54.4%, disclosed to investors only when an analyst asked three months later.	Partly
Q4 FY26 (Apr 26)	FY27 sales of ₹400–450 cr and a sustained ~11.5% margin.	Q1 FY27 delivered ₹96.9 cr at 11.9% — an annual run-rate of ₹388 cr before any new unit contributes. Guidance since raised to ₹450–500 cr. On track, but three quarters left to run.	Too-early

Narrative drift. There are two management teams here and they have different track records. On the **headline financial numbers** the record is genuinely good: three revenue guidances given, three met or beaten; a margin band declared and held for five straight quarters; a plant promised, costed and built on schedule. On the **strategic promises** the record is poor and the pattern is repetitive. Backward integration was the organising idea of the first two calls — Lamitubes, an LDPE plant, "three years down the line we will have our backward integration in place" — and by April 2026 it had been silently inverted into "forward integration only," with none of the three projects ever executed or formally withdrawn. Plant utilisation targets have been restated downward or quietly abandoned twice. The cash-flow promise was not met; it was re-argued. And the definition of the growth story keeps expanding to whatever is newest — Lamitubes, then Ahmedabad, then caps, then exports — so that the previous unmet target is always crowded out by a fresher one. The **candour** is real and should be credited: this is a CFO who volunteers that his industry has no entry barriers and that he does not care about his own cash flow statement. But candour about the business model is not the same as reliability about commitments, and on commitments the drift is systematic. The 12% promoter sale — brushed off on the call as a private matter that was "done and dusted", eleven days before both promoters were removed from the business by a shooting and an arrest — is where that pattern stops being an analytical quibble.

5 Bottom line — two verdicts

Durable earning trigger? → MAYBE

The growth is unarguable and it is not an accounting illusion: sales went from ₹41 cr to ₹303 cr in three years, margins expanded from 7% to 12%, and there are two new plants and a new product line genuinely coming on stream. Ahmedabad alone, taken from 35% to 80% utilisation as promised, adds roughly ₹250 cr of annual sales. That is a real, dateable trigger for the next four to six quarters. **But nothing underneath it is durable.** Management itself states there are no entry barriers, no contracts, no product differentiation and no pricing power — the aluminium price is set by Hindalco on the first of each month and passed straight through. Part of the margin comes from stockpiling aluminium ahead of price rises, which is commodity positioning, not skill, and it reverses when prices fall. Most importantly, this business has never turned a rupee of profit into cash: FY26 produced ₹30 cr of operating profit and — **₹37 cr of operating cash flow**, because every rupee earned goes straight back into inventory and customer credit, with debtor days stretching from 92 to 133. The trigger is "lend us more money and we will buy more aluminium and give more credit." That works beautifully while credit is available and no customer defaults, and it is precisely the thing that stops working all at once if either changes. Real for now; not durable.

Management consistent? → NO

Give them full credit where it is due: every revenue guidance since May 2025 has been met or beaten, the 11–12% margin band has held for five straight quarters, and the Ahmedabad plant was promised, costed and delivered on time. Very few small companies do that. **The verdict still has to be no**, for three reasons. First, the strategic pipeline is serially over-promised and quietly abandoned — Lamitube manufacturing, the LDPE plant acquisition and the whole backward-integration thesis were all guided with dates and rupee figures, all dropped, and the reversal to "forward integration only" was announced in passing rather than explained. Second, the operating targets that were specific enough to be checked were missed by wide margins: Ahmedabad at 35% against a promised 50% four months earlier, and an operating-cash-flow turnaround that was promised as "definitely, 100%" and then re-framed as something not worth worrying about. Third, and decisively, the disclosure record on the promoters themselves. Told in April 2026 that no further dilution was contemplated, shareholders then saw the founders sell 12% of the company inside one quarter, learned of it only when an analyst raised it, and were told the reason was private and "done and dusted." Eleven days later the Managing Director had been shot and the Chairman-CFO arrested. In a business whose only declared advantage is the founders' personal relationships and personal credit judgement, that is not a peripheral governance footnote — it is the central fact. Until a strengthened board and management team is actually in place and has reported a quarter, no reader should extend this management the benefit of the doubt.

Sources: Six GSM Foils Ltd earnings-call transcripts filed with the National Stock Exchange — Q4 FY25 (9 May 2025), Q1 FY26 (21 Jul 2025), Q2/H1 FY26 (6 Nov 2025), Q3/9M FY26 (2 Feb 2026), Q4 FY26 (22 Apr 2026) and Q1 FY27 (21 Jul 2026) — sourced from Screener.in, with the Q1 FY27 transcript retrieved directly from the NSE filing archive. Company disclosures under SEBI Listing Regulation 30 dated 31 July 2026 and 2 August 2026 regarding the firing incident involving the Managing Director and the custody of the Chairman & Whole-Time Director. Screener.in financial history (profit & loss, balance sheet, cash flow, ratios, quarterly results, shareholding pattern).

A note on the numbers: the company reports in lakhs on its calls; figures here are converted to crores (100 lakh = 1 crore). Margin figures quoted by management (e.g. 11.9% EBITDA in Q1 FY27) match Screener's operating-margin line closely; small differences are due to the treatment of other income.